

CHAIRMAN'S REMARKS

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G A R D Prasanna
Chairman

A YEAR OF UNPRECEDENTED ACHIEVEMENT AND STRATEGIC STRENGTH

Financial Year 2024/25 was a landmark year for LB Finance PLC (LBF), marked by a commanding performance that culminated in our highest-ever profit after tax. This exceptional financial outcome was further complemented by significant expansion of our asset base and sustained strength and quality of our portfolio. These results are the direct consequence of our disciplined strategic execution, the prudent leveraging of a robust balance sheet to invest in key growth opportunities, and pivotal investments in technology, which have enhanced customer experience. Fundamentally, this success is underpinned by the unwavering passion, dedication, and perseverance of the LBF team.

CHAIRMAN'S REMARK - DIGITAL VERSIONS


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In English

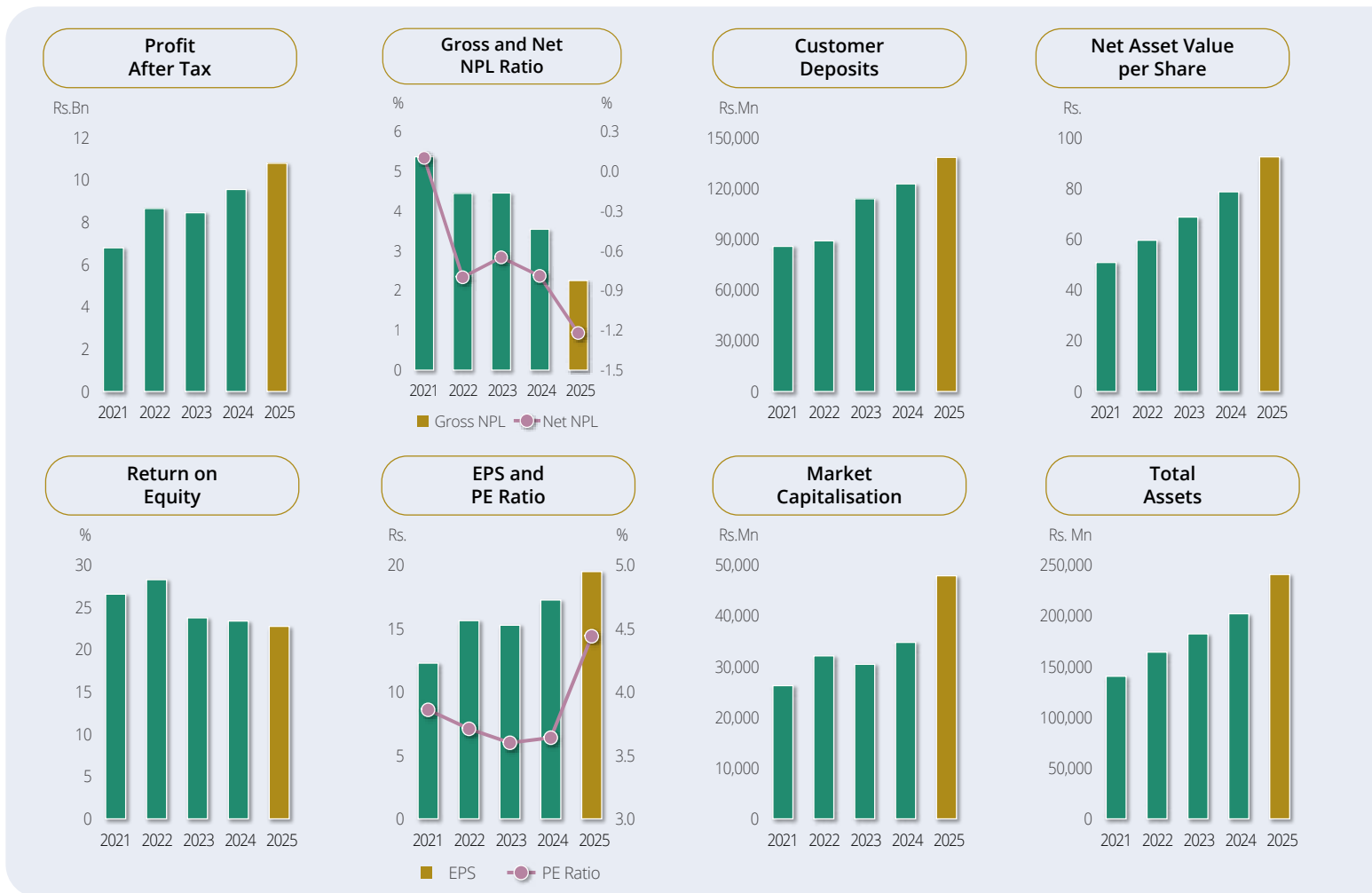
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For over 54 years, LBF has been a potent force in Sri Lanka's economic and social progress. We have consistently fostered job creation, broadened financial inclusion, spearheaded innovation, and empowered communities, reshaping the financial landscape for individuals and businesses. This deep-rooted legacy provides the foundation for our continued leadership and impact.

NAVIGATING A DYNAMIC OPERATING ENVIRONMENT

The financial year unfolded within a complex yet increasingly stable environment. While we welcomed the trend towards a more predictable policy landscape after March 2024, which facilitated stable conditions for product

pricing. These positives were balanced by heightened market competition, particularly due to regulatory changes enabling broader branch expansions across the financial services sector. Furthermore, macroeconomic pressures continued to pose challenges, notably impacting staff retention across the industry. While our staff attrition remained manageable and primarily linked to external factors, we navigated these conditions with resilience, ensuring our strategic agility remained paramount.

DELIVERING RECORD PERFORMANCE AND OPERATIONAL EXCELLENCE

Our focus on execution translated directly into tangible results. We exceeded our

financial performance budget in FY 2024/25, delivering the highest business volumes and growth rate witnessed in the Company's history. This culminated in the record-breaking profit after tax of Rs. 10.80 billion, reflecting a 12.99% growth YoY.

Our rigorous operational management led to a significant reduction in our Non-Performing Loan (NPL) ratio to a historic low of 2.25% in the year under review, underscoring the effectiveness of our market recoveries and collection mechanisms. Moreover, we maintained healthy Key Performance Indicators (KPIs) across all operational facets and preserved margins despite the intense competitive pressures.

CHAIRMAN'S REMARKS



We undertook a comprehensive review and revitalisation of our ESG policy, including the development of a specific Climate Risk Policy, to ensure alignment with evolving expectations and sectoral risks. This proactive stance is further evidenced by the commencement of integrating SLFRS S1 and S2 sustainability and climate-related risk and opportunity management requirements

Our targeted growth strategies paid off, with approximately 35% business volume growth in specific areas, supported by strong customer loyalty, evidenced by 40-50% of new disbursements being directed towards existing customers.

Customer deposits reached Rs. 138.49 billion by 31 March 2025, marking a 12.78% YoY increase largely driven by fixed deposits. This outcome resulted from a strategic emphasis on fixed deposits to secure stable funding with favourable costs and enhance the maturity profile, capitalising on prevailing interest rates. High deposit renewal ratio and new depositor attraction highlighted strong customer confidence.

Our commitment to strengthening the Company and delivering value to our shareholders is reflected in the growth of our Equity. As of 31 March 2025, Equity reached Rs. 51.26 billion, a substantial increase of Rs. 7.63 billion, or 17.51% YoY. This robust growth is primarily attributable to the strong retained earnings generated from the year's record profitability. Crucially, this significant internal capital generation was achieved while consistently adhering to our dividend payout policy of 1/3 of profit, underscoring our ability to reinvest for future growth and provide attractive returns to our shareholders. As a result, the Board has proposed a final dividend of Rs. 4.25 per share, bringing the total dividend for the year (including the interim dividend

of Rs. 2.25 per share) to Rs. 6.50 per share. This demonstrates our commitment to rewarding our shareholders for their ongoing trust and support. Consequently, the Company's capital adequacy remains comfortably above regulatory requirements, providing a strong and sufficient capital base to support our strategic expansion plans.

STRATEGIC MILESTONES AND FUTURE FOUNDATION

The financial year under review was also marked by strategic execution that strengthened our platform for future growth. We enhanced our branding and market reach through the addition of new branches, cementing our position as the financial institution with the largest branch network. A pivotal corporate event was the successful completion of the amalgamation of Multi Finance PLC in July 2024. Acquired under the guidance of the Central Bank of Sri Lanka (CBSL), this strategic integration resulted in the full absorption of Multi Finance's assets and liabilities, which are now fully reflected in our financial statements.

Moreover, we continued to invest in our strategic transformation, including the recruitment of a Chief Transformation Officer, tasked with leading enterprise-wide change and fostering a culture of innovation. While early AI-based lending initiatives are underway, the full impact of these innovations is anticipated to become more evident in the coming year.

GOVERNANCE, RISK MANAGEMENT, AND SUSTAINABLE VALUE CREATION

Robust governance is not merely a compliance exercise for LBF; it is the bedrock of our operations and fundamental to creating sustainable value for all stakeholders. Our commitment in this regard is comprehensive, spanning both traditional risk management and proactive integration of Environmental, Social, and Governance (ESG) principles.

This year, we significantly enhanced our governance and risk management framework. Key structural improvements included strengthening of Chief Information Security Officer (CISO) function to bolster our cyber risk oversight and a formal Operational Risk Management Committee (ORMC) to strengthen operational risk governance. We also introduced a Board-approved Model Risk Management Framework, ensuring robust oversight of our statistical and AI models, and appointed a dedicated employee to specifically oversee personal data governance and compliance.

Furthermore, our unwavering commitment to sustainability was significantly formalised and integrated into our risk approach. We undertook a comprehensive review and revitalisation of our ESG policy, including the development of a specific Climate Risk Policy, to ensure alignment with evolving expectations and sectoral risks. This proactive stance is further evidenced by the commencement of integrating SLFRS S1 and S2 sustainability and climate-related risk and opportunity management requirements into our overall risk framework and the initiation of clear, measurable sustainability-related Key Performance Indicators (KPIs). Our dedicated Board Sustainability Committee ensures sustainability is deeply woven into our corporate governance and strategic planning.

Across all material risk categories including Credit, Integrated, Operational, Information Security, Sustainability, and Model Risk we have implemented targeted enhancements, refined policies, updated risk appetites, and conducted rigorous stress testing and assessments. A notable achievement was the successful upgrade of our Information Security Management System (ISMS) to the ISO/IEC 27001:2022 standard, positioning LBF as the first NBFI in Sri Lanka to reach this benchmark, reinforcing our commitment to international best practices. We also initiated the implementation of a Security Operations Centre (SOC) to enhance real-time monitoring and response capabilities.

These comprehensive initiatives fortify our control environment, enhance our resilience against an evolving risk landscape, reinforce our adherence to national and international standards, and ultimately ensure we are well-equipped to support our future growth trajectory while upholding our culture of transparency and ethical leadership.

FUTURE OUTLOOK

As we transition from a year of exceptional performance, LBF is poised to build upon this strong momentum. Our strategic direction is unequivocally clear: to solidify our standing as a leading technology-driven financial service provider. We will strategically leverage Fintech and AI across every facet of our operations, not only to enhance efficiency but critically, to elevate customer experience. While credit income will remain a vital revenue driver, our operational framework will progressively become more tech-centric.

Central to this forward-looking strategy are several key expansionary initiatives. We will significantly grow our Microfinance and Small Business Loan portfolio, develop bespoke financial products for small business owners, and enhance our Alternate Finance Solutions offering. Focused regional expansion also remains a critical objective. Concurrently, we are committed to the pervasive integration of Sustainability and ESG principles across the organisation.

ACKNOWLEDGEMENTS

As I conclude this message, the exceptional performance achieved in FY 2024/25 is a clear validation of our disciplined strategic execution, coupled with our deepening commitment to robust governance and sustainable value creation. We are confident in our ability to build upon this momentum, navigating future challenges and opportunities with resilience and focus, to ensure enduring prosperity for all who place their trust in LBF.

To conclude, I wish to express my sincere appreciation to the LBF team. Your unwavering commitment, dedication, and steadfast loyalty to LBF's vision, particularly amidst challenging circumstances, have been truly commendable and were essential to our record achievements this year. I am deeply grateful for the continuous support, wise counsel, and encouragement I consistently receive from my esteemed fellow Board members. Finally, a special thank you is due to the Governor of the Central Bank of Sri Lanka and the dedicated officials at the Department of Supervision of Non-Bank Financial Institutions for their invaluable guidance and oversight throughout the year.

G A R D Prasanna
Chairman

30 May 2025